

HSBC Holdings plc (0005)

1Q26 – mixed; fee upside overshadowed by higher cost and ECL charge; near-term weakness could be opportunity to buy

1Q26 print – mixed. On the positive side, non-NII +10% y/y, beating consensus by 6%, led by Transaction Banking (+6% y/y, beat consensus by 6%), Wealth (+18% y/y, beat consensus by 4%) and Others (+8% y/y, beat consensus by 10%). Looking into the details, net new money (NNM) was \$39bn, +70% y/y; among that, \$34bn was non-deposits, +100% y/y; and insurance new business CSM (contractual service margin) +31% y/y – both will support the wealth income momentum in coming quarters. **On the negative side**, costs are 4% ahead of consensus, partly due to bonus accrual. And one key downside surprise is impairment charges are 9% ahead of consensus, pushing annualized credit cost to 52bps. Among that, \$0.3bn is ECL (expected credit loss) for the Middle East, including refreshed macro assumptions and a severe downside scenario; this is within expectations. A surprise \$0.4bn ECL charge was related to a fraud case in the private markets business in the UK. HSBC revised FY26 credit cost guidance to 45bps (vs consensus 42bps). Management disclosed that they have not experienced any significant financial impact from the Middle East, while its new top-down downside scenario of increasing severity and duration (although assumptions are undisclosed) sees a potential mid- to high-single-digit ppt downside to PBT, if without management actions. **On private credit**, HSBC disclosed US\$111bn of total exposure to private markets (40bn committed, 71bn drawn). This includes \$22bn of drawn and committed private credit exposure, which is in line with the previously disclosed ~2% of loan exposure. **On a net basis**, we expect the share price to react negatively in the near term despite the 2% beat on revenue, as market expectations have moved up after STAN's strong 1Q print released last week, and the surprise ECL charge on the fraud case may accentuate concerns on private market exposure. Nonetheless, we remain OW on HSBC, and we see the near-term weakness as an opportunity to accumulate, as HSBC is a key beneficiary of elevated rates.

Noteworthy areas

- **What do we like:** 1) Fee & Other income of \$7.87bn was 6% ahead of consensus with: a) Transaction Banking fee income 6% above consensus (+2% y/y ccy), b) Wealth income 4% above consensus (+15% y/y ccy) with growth in all products (including Investment Distribution +21% y/y, Insurance +19% y/y). 2) The Group saw \$39bn of net new money (NNM), +~70% y/y, of which, \$5bn of NNM is net new deposits; by region, \$34bn of the NNM in Asia (vs \$26bn/\$19bn in 4Q25 and \$23bn/19bn in 1Q25). And insurance new business CSM +31% y/y. Data points on NNM and CSM suggest sustained momentum for robust wealth income growth; Other income within Fees was 10% above consensus and included a \$0.2bn gain on the sale of land in Japan. 3) TNAV/Sh of \$9.46 (-18c q/q) vs consensus \$9.42. 4) Management updated FY26 NII guidance to \$46bn from >\$45bn, vs consensus of \$45.8bn.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

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Overweight

0005.HK, 5 HK

Price: HK\$143.40

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- **What is inline?** 1) Banking NII of \$11.25bn was in line with company-compiled consensus, with Customer lending +2% q/q (ccy) driven by strength in CIB (+\$12bn q/q) and UK (+\$4bn q/q) while other divisions were also higher, and Customer accounts +1% q/q led by CIB +\$10bn q/q while other divisions were flattish (HK flat q/q, UK flat q/q and International Wealth -\$1bn q/q). 2) PBT (clean) of \$10.06bn was in line with consensus while stated PBT of \$9.38bn was 2% below consensus. 3) CET1 of 14.0% and DPS of 10c were in line with consensus.
- **What we don't like:** 1) Costs of \$8.54bn were 4% above consensus leading to PPOP of \$10.58bn 1% above consensus. Among this, \$0.2bn was due to variable pay (accrued bonus), which rose to \$1.0bn in 1Q26 vs \$0.8bn in 1Q25. 2) Impairments of \$1.3bn (52bps CoR) were 9% above consensus and included \$0.3bn related to the Middle East conflict and \$0.4bn for fraud-related, secondary securitization exposure to a financial sponsor in the UK, this is related to private market exposure (please see bullet below). Annualized credit costs reached 52bps in 1Q26. 3) Management revised up FY26 credit cost guidance to 45bps from 40bps (vs consensus 42bps).
- **Outlook & Guidance in 2026:** 1) Banking NII increased to c\$46bn (vs consensus \$45.83bn, JPMe \$45.72bn) reflecting an improved rate outlook (mid-April); 2) Cost growth unchanged at +c1% from a baseline of \$34.0bn (implied at \$34.3bn) vs consensus \$34.05bn, and the Group achieved \$0.3bn of simplification cost savings in 1Q with c\$0.7bn expected to be realised across 2026; 3) ECL increased to c45bps reflecting ongoing uncertainty (consensus 42bps); 4) CET1 14-14.5% target range; 5) Expected material notables: a) -\$0.2bn reserves recycling losses in 2H26, related to the South Africa transaction (Fee and other income), b) up to \$0.4bn gain in 1H27, on the disposal of Indonesia Retail Banking (Fee and other income), c) \$0.1bn gain in 2027, on the disposal of Germany custody business.
- **Private Credit exposure:** The Group has shared disclosure on its \$111bn of Private Markets exposure (o.w. \$71bn drawn) including \$22bn of Private Credit related exposure (o.w. \$16bn drawn) with \$6bn of Private Credit and the remainder \$16bn relating to securitization financing, CRE-related, subscription and other. See Table 6 for details.
- **Middle East exposure:** As of 1Q26, HSBC's direct loan exposure to the Middle East represented 2.4% of Group total loans, with the region (including Turkey, Egypt, and Saudi Arabia) contributing 7% of Group PBT for the quarter. Management notes that, to date, the Group has not experienced significant direct financial impacts from recent events in the region. However, in response to the escalation of conflict and increased macro uncertainty, HSBC has raised the weighting of downside scenarios in its ECL framework to 45% (from 15% at 4Q25), and has modelled a range of integrated downside stress scenarios. **Under these scenarios, and before any mitigating management actions, Group PBT could be reduced by a mid-to-high single digit percentage in FY26**, with the impact distributed across both revenue and ECL drivers. Of the Group's \$1.3bn ECL charge in 1Q26, \$300mn (equivalent to 12bps annualized credit cost) was related to the Middle East conflict, comprising \$0.1bn of management overlay and \$0.2bn from model-driven factors. Management emphasizes that HSBC is

well-positioned to manage these risks from a position of financial strength, with ongoing monitoring and risk controls in place, particularly for Gulf operations and clients most exposed to regional volatility.

- **Likely changes to consensus:** We expect limited changes to consensus with stronger revenue trends likely to be offset by higher costs and a weaker impairment outlook, with any prolonged challenges in the Middle East likely to further weigh on PBT.
- **Likely share price reaction:** We expect the share price to react negatively despite the 2% beat on revenue and market expectations have gone up after STAN's 1Q26 release last week.

Others

- **Read-across to HK banks – mixed:** Hong Kong business banking NII declined by 9% q/q on a largely flat loan balance, indicating a decrease in banking NIM. The contraction was mainly due to average 1-month HIBOR falling 73bps q/q in 1Q26, while the CASA ratio for HK deposits remained stable q/q at 64%. Fee and other income recorded strong growth of 17% y/y, led by sustained momentum in wealth management (+23% y/y). Transaction banking revenue was up 9% y/y. Asset quality in HK CRE was largely stable, with the Stage 3 ratio edging down by 13bps q/q, while the Stage 2 ratio declined by 1.6ppts q/q.
- **HK CRE – manageable risks with declined exposure and high provision:** At 1Q26, HK CRE excluding mainland China borrowers accounted for 2.9% of the total loan book, down from 3.1% at 4Q25. The impaired loan ratio stayed largely flat q/q at 20.5% at 1Q26, while the sub-standard loan ratio was up by 0.6ppts q/q to 8.5%. We note that 44% of the HK CRE book is unsecured, which remained stable in quality with limited credit-impaired levels and close to 89% rated Strong or Good (vs 89% in 4Q25), as unsecured loans are typically granted to conglomerate groups with diverse cash flows. The LTV for sub-standard and impaired HK CRE loans is 44% and 75%, respectively, at 1Q26. The loan loss reserve (LLR) for HK CRE loans stood at 3.9% in 1Q26, up from 3.5% in 4Q25. LLR for impaired loans with LTV >70% is high at 45% (\$1.0bn allowance over \$2.2bn impaired loans with LTV >70%).
- **Asia business review:** Asia clean PBT growth was +8% y/y in 1Q26, slightly decelerating from +9% y/y in 4Q25. Total income was up 8% y/y (+15% q/q) while clean costs rose 8% y/y (-4% q/q), delivering zero operating jaws, and thus PPOP was up 8% y/y. Loan impairment decreased by 12% y/y, bringing the annualized credit cost down 5bps y/y to 26bps in 1Q26. Loan growth of +2% q/q (or +6% y/y) was ahead of the Group trend of +1% q/q, and deposits grew by 1% q/q (+10% y/y).
- **Conference Call Details:** 7.45 am GMT / 2.45 pm HKT on 5 May 2026; UK: +44 208 080 6592, HK: +852 3002 4428; Webinar ID: 951 9360 0602, Passcode: 899934.

Table 1: HSBC Group 1Q26 summary

HSBC Group (US\$ mil)	1Q25	4Q25	1Q26E	1Q26 cons	1Q26A	Y/Y	Q/Q	vs cons	vs JPMe
Banking NII	10,599	11,722	11,291	11,276	11,253	6%	-4%	0%	0%
Fee and other income	7,141	6,001	7,312	7,406	7,872	10%	31%	6%	8%
o.w. Transaction Banking	2,912	2,648	3,019	2,903	3,081	6%	16%	6%	2%
o.w. Wealth	2,291	2,146	2,611	2,591	2,697	18%	26%	4%	3%
o.w. Other	1,938	1,207	1,682	1,912	2,094	8%	73%	10%	24%
Underlying revenues	17,740	17,723	18,603	18,682	19,125	8%	8%	2%	3%
Underlying costs (inc levy)	-7,911	-8,905	-8,089	-8,179	-8,543	8%	-4%	4%	6%
Pre-provision profit	9,829	8,818	10,514	10,503	10,582	8%	20%	1%	1%
Loan loss provision charge	-876	-901	-1,146	-1,194	-1,301	49%	44%	9%	13%
Operating profit before tax	8,953	7,917	9,367	9,309	9,281	4%	17%	0%	-1%
Associate income	813	669	805	723	774	-5%	16%	7%	-4%
Clean pretax profit	9,766	8,586	10,172	10,032	10,055	3%	17%	0%	-1%
Exceptionals and other one-offs (inc CTA)	-282	-1,784	-400	-444	-679				
Pre-tax profit	9,484	6,802	9,772	9,588	9,376	-1%	38%	-2%	-4%
DPS (\$)	0.10	0.45	0.10	0.10	0.10	0%		0%	0%
TNAV/sh (\$)	9.08	9.64	9.65	9.42	9.46	4%	-2%	0%	-2%
B3 CET1 ratio transitional	14.7%	14.9%	14.0%	14.0%	14.0%				
Loans (gross) (US\$bn)	1,696	1,773	1,805	1,798	1,782	5%	1%	-1%	-1%
Deposits (US\$bn)	966	982	1,017	995	1,002	4%	2%	1%	-1%

Source: J.P. Morgan estimates, company data, company compiled consensus. Note: Loans/deposits on constant currency basis.

Table 2: HSBC Asia 1Q26 summary

Asia (US\$ mil)	1Q25	2Q25	3Q25	4Q25	1Q26
Total income	9,382	9,093	9,142	8,775	10,127
Total clean costs	(3,511)	(3,644)	(3,724)	(3,956)	(3,782)
PPOP	5,871	5,449	5,418	4,819	6,345
Loan impairments & other impairments	(353)	(557)	(298)	(427)	(312)
Associate profits	635	623	406	486	592
Clean PBT	6,153	5,515	5,526	4,878	6,625
Exceptional items	(27)	(2,257)	(75)	(125)	(40)
Stated PBT	6,126	3,258	5,451	4,753	6,585
Loans (net)	453,681	459,814	460,790	467,842	479,119
Deposits	839,433	871,247	882,380	911,725	919,570
RWA	407,315	416,794	412,904	411,824	410,082
NIM (HBAP)	NA	NA	NA	NA	NA
Credit Costs (ann)	0.31%	0.49%	0.26%	0.37%	0.26%
Y/Y change					
Total income	10.8%	7.0%	4.3%	5.4%	7.9%
Total clean costs	4.7%	2.8%	4.2%	2.5%	7.7%
PPOP	14.7%	10.1%	4.4%	7.9%	8.1%
Loan impairments & other impairments	30.3%	202.7%	-44.4%	-21.1%	-11.6%
Associate profits	3.9%	-6.9%	-11.2%	-10.2%	-6.8%
Clean PBT	12.8%	1.5%	8.1%	9.2%	7.7%
Exceptional items	NA	NA	NA	NA	48.1%
Stated PBT	12.3%	-40.1%	6.6%	6.5%	7.5%
NIM (HBAP)	NA	NA	NA	NA	NA
Credit Costs (ann)	7 bps	32 bps	-21 bps	-11 bps	-5 bps
Q/Q change					
Loans (net)	0.83%	1.35%	0.21%	1.53%	2.41%
Deposits	-0.69%	3.79%	1.28%	3.33%	0.86%
RWA	1.11%	2.33%	-0.93%	-0.26%	-0.42%

Source: Company data.

Table 3: HSBC Asia revenue by segment

Asia (US\$ mil)	1Q25	2Q25	3Q25	4Q25	1Q26	Q/Q	Y/Y
Segment Revenue in Asia (clean)							
HK business	4,000	3,837	3,958	4,047	4,115	1.7%	2.9%
Retail Banking and Wealth	2,551	2,443	2,570	2,618	2,777	6.1%	8.9%
Commercial Banking	1,449	1,394	1,388	1,429	1,338	-6.4%	-7.7%
CIB	3,550	3,369	3,285	3,171	3,607	13.7%	1.6%
IWPB	1,847	1,764	2,035	1,759	2,130	21.1%	15.3%
Corporate Centre	(15)	123	(136)	(202)	275	-236.1%	-1933.3%
Total	9,382	9,093	9,142	8,775	10,127	15.4%	7.9%

Source: Company data.

Table 4: HSBC Hong Kong business

In US\$ mn	1Q25	2Q25	3Q25	4Q25	1Q26
P&L items					
Banking NII	2,972	2,768	2,866	3,194	2,905
Fee and other income	955	993	1,013	776	1,119
Retail Banking and Wealth	661	701	748	548	798
Retail Banking	87	89	84	66	95
Wealth	546	555	646	459	673
Other	28	57	18	23	30
Commercial Banking	294	292	265	228	321
Wholesale Transaction Banking	177	184	183	173	193
Credit and Lending	26	16	16	15	26
Other	91	92	66	40	102
Revenue excluding notable items	3,927	3,761	3,879	3,970	4,024
Notable items	0	0	0	0	0
Revenue	3,927	3,761	3,879	3,970	4,024
ECL	(316)	(542)	(313)	(307)	(208)
Total operating expenses	(1,138)	(1,163)	(1,201)	(1,304)	(1,227)
Share of profit in associates and JVs less impairment	0	0	0	0	0
Profit/(loss) before tax	2,473	2,056	2,365	2,359	2,589
Y/Y growth					
Banking NII	0%	-7%	-5%	4%	-2%
Fee and other income	31%	28%	28%	3%	17%
Wealth	51%	38%	60%	10%	23%
Wholesale Transaction Banking	5%	3%	-1%	-3%	9%
Revenue excluding notable items	6%	0%	2%	4%	2%
Total operating expenses	0%	-4%	0%	0%	8%
Profit/(loss) before tax	7%	-16%	6%	9%	5%
B/S items					
Net loans and advances to customers	227,615	224,867	224,264	223,730	224,698
Customer deposits	496,370	507,657	508,691	531,902	528,277
Risk-weighted assets	142,279	137,911	137,355	136,245	133,018
Q/Q growth					
Net loans and advances to customers	-3.2%	-1.2%	-0.3%	-0.2%	0.4%
Customer deposits	-2.2%	2.3%	0.2%	4.6%	-0.7%
Risk-weighted assets	-1.0%	-3.1%	-0.4%	-0.8%	-2.4%

Source: Company data.

Table 5: HSBC HK CRE exposure

US\$m	1H24	2H24	1H25	3Q25	2H25
HK CRE net balance (excl. mainland China CRE booked in HK)	33,201	31,676	31,033	30,624	29,484
Stage 1	22,132	8,523	8,975	10,666	10,764
Stage 2	6,515	18,012	15,701	13,652	12,687
Stage 3	4,554	5,141	6,357	6,306	6,033
Allowance for ECL	405	877	1,062	1,077	1,158
Deduction in CET1 from excess of expected loss	3,125	3,475	3,460	3,593	3,214
HK CRE exposure as % of total	3.5%	3.2%	3.1%	3.1%	2.9%
Stage 2 loan ratio	19.6%	56.9%	50.6%	44.6%	43.0%
Stage 3 loan ratio	13.7%	16.2%	20.5%	20.6%	20.5%
LLR / Loans	1.2%	2.8%	3.4%	3.5%	3.9%
Coverage ratio on Stage 2&3 loans	3.7%	3.8%	4.8%	5.4%	6.2%
(EEL deduction + Allowance for ECL)/Stage 3 loans	78%	85%	71%	74%	72%

Source: Company data. Note: Excluding exposure to mainland China borrowers.

Table 6: HSBC's private markets exposure

In US\$bn	Exposure	Note
Total Private Markets Exposure	111	Of which 71bn are drawn
IWPB investments in private credit, infrastructure debt, and private equity funds	32	Fair value, balances largely related to insurance policy holders; Includes (i) investments in private credit and infrastructure debt funds, (ii) infrastructure debt investments, (iii) private equity funds
Fund finance including capital calls	25	Amortised cost; includes capital calls, management fee and NAV finance to non-private credit funds
CIB trading and financing positions, investments in PE and PE funds	9	Fair value; Includes (i) loan positions originated by HSBC with the intent to distribute to private credit counterparties, (ii) distressed and secondary market loan and claim positions held for trading, (iii) ABS trading and recourse financing positions referencing private credit assets, (iv) private equity and private equity funds.
Leveraged buyout lending	23	Amortised cost
Private credit related exposure	22	Amortised cost; of which \$6bn is drawn
Of which: "private credit" (narrow definition)	6	Banking book financing collateralised with private credit assets; of which \$3bn is drawn
Drawn-down private market exposure as % of Group assets	2.1%	
Total private credit related exposure as % of Group loans	2.2%	
Drawn-down private credit related exposure as % of Group loans	0.6%	

Source: Company data.

Investment Thesis

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 8-10% each year, the highest within our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 17.4%/17.8%/18.1%, broadly in line with HSBC's above-17% guidance. We rate HSBC Overweight.

Valuation

Our Dec-26 PT of HK\$180 is based on our DDM analysis, with NAV discounted back to Dec-26 from 2028E and a fair P/B of 2.0x. Our key assumptions are a normalized ROE of 15.8%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Risks to Rating and Price Target

Key downside risks include:

- 1) **Macroeconomic risks:** HSBC is exposed to GDP growth in Hong Kong SAR, Mainland China and the UK, as well as FX and cross-border/political risks, which could pose downside risks. Similarly, the global interest rate and inflation outlook could impact group margins, which may differ from our expectations.
- 2) **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth above normalized levels in the medium term – although we see both upside and downside risks to this. This includes specific areas such as China CRE, where the group has a large unsecured exposure, and Hong Kong CRE, where the portfolio has seen sharp deterioration.
- 3) **Regulatory risks:** Regulatory risks include Basel 4, performance in BoE stress tests/*Comprehensive Capital Analysis and Review* (CCAR) and changes in capital regime.

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HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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